Farmers' Produce Trade and Commerce (Promotion and Facilitation) Act, 2020, Designed to Disrupt and End the Monopoly of APMCs

The Farmers' Produce Trade and Commerce (Promotion and Facilitation) Act, 2020, promulgated in September 2020 (later repealed), struck at the root of the APMCs' monopoly over wholesale agricultural produce trading. It also virtually abolished the system of mandi fees. The law was truly revolutionary with respect to these two fundamental deformities of India's agricultural produce trading system. While it did not directly dismantle the APMC system (APMCs continued to survive as they were currently within the confines of their physical market yards), it had the potential to massively disrupt these by taking away their business.

The Act granted complete freedom to farmers to sell at the regulated market yards of AMPCs or outside. It enfranchised almost every business entity (under a very wide definition) to set up a physical trading station outside the APMC market yard or establish an electronic trading system anywhere in the country. Farmers and traders could undertake interstate and intrastate transactions without any restrictions. As there is a distinct comparative advantage to set up shop outside APMCs to trade in agriculture produce—both in terms of trading freedom and non-payment of mandi fees—it was expected that trading of produce would have commenced outside APMC market yards.

The states had three options before them when this law was enacted. First, not to do anything and slowly see the regulated APMCs suffer a slow death as trading in APMC market yards would become defunct over a period of time. Second, to amend their APMC laws to abolish or drastically reduce mandi fees and permit APMC traders to undertake intrastate and interstate transactions as the Act allowed the non-APMC traders to do. Third, agitate directly or indirectly with the Central government to repeal or